CORPORATE POLICY REVIEW REPORT

Corporate Governance & Ethics Policy — Aditya Birla Capital Ltd.

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ACTIVITY TITLE: CORPORATE POLICY REVIEW REPORT

ORGANIZATION/COMPANY REVIEWED: ADITYA BIRLA CAPITAL LTD. (ABCL)

POLICY NAME: CORPORATE GOVERNANCE & ETHICS POLICY

1. INTRODUCTION

1.1 About the Organization

Aditya Birla Capital Limited (ABCL) is a listed, systemically important, Upper Layer Non-Deposit taking Non-Banking Financial Company (NBFC) and the holding company for the financial services businesses of the Aditya Birla Group. ABCL and its subsidiaries and joint ventures offer a comprehensive suite of financial solutions across loans, investments, insurance, and payments, powered by over 68,400 employees, more than 1,740 branches, and over 200,000 agents and channel partners across India. As a publicly listed company on India's stock exchanges, ABCL is directly subject to SEBI's corporate governance and disclosure regulations.

1.2 Introduction to the Selected Policy

The policy selected for this review is ABCL's Corporate Governance and Ethics framework, examined through its Policy on Corporate Governance, its Policy on Related Party Transactions, its Whistle Blower Policy, and its Stakeholder Engagement Policy. Together, these documents define how ABCL's Board of Directors exercises oversight, how the company ensures transparency and accountability to shareholders and other stakeholders, and how it upholds ethical standards across its operations.

1.3 Purpose of the Review

The purpose of this review is to understand the structure, objectives, and key provisions of ABCL's corporate governance and ethics framework, particularly its board oversight mechanisms, transparency and disclosure practices, related-party transaction controls, and whistleblower protections, and to examine how these align with statutory and regulatory governance requirements in India. Given that ABCL is a systemically important, publicly listed financial holding company, this review also evaluates how effectively its governance framework protects shareholder and stakeholder interests.

2. POLICY OVERVIEW

2.1 Name and Nature of the Policy

The policy under review comprises ABCL's Policy on Corporate Governance, Policy on Related Party Transactions, Whistle Blower Policy, and Stakeholder Engagement Policy, all publicly disclosed on ABCL's investor relations webpage. Collectively, these form a board-level governance and ethics framework, rather than a single document, reflecting the multi-dimensional nature of corporate governance, which spans board structure, financial transaction oversight, ethical conduct, and stakeholder communication.

2.2 Scope of the Policy

The governance framework applies to ABCL's Board of Directors, its Board-level committees, senior management, and, through the Related Party Transactions Policy, to all transactions between ABCL (or its subsidiaries) and related parties such as promoters, directors, key managerial personnel, and their relatives or associated entities. The Whistle Blower Policy and Stakeholder Engagement Policy extend the framework's reach to employees, shareholders, investors, and other external stakeholders who interact with the company.

2.3 Employees and Stakeholders Covered

- The Board of Directors, comprising the Non-Executive Chairman, Independent Directors, Non-Executive Directors, and Executive Directors including the Managing Director and CEO
- Board-level committees, such as the Audit Committee, Nomination and Remuneration Committee, Stakeholders Relationship Committee, Risk Management Committee, and Corporate Social Responsibility Committee
- Senior management and key managerial personnel involved in related-party dealings and financial disclosures
- Employees, who may act as whistleblowers to report governance or ethical violations

- Shareholders, investors, and other external stakeholders whose interests the governance framework is designed to protect

2.4 Key Objectives of the Policy

- To ensure the Board of Directors provides effective oversight and strategic direction to the company
- To maintain transparency in financial reporting, disclosures, and dealings with related parties
- To hold the Board, management, and employees accountable for their decisions and conduct
- To protect the interests of minority shareholders and other stakeholders in related-party and material transactions
- To uphold high ethical standards across the organization, supported by a protected whistleblower mechanism

3. KEY PROVISIONS OF THE POLICY

3.1 Board Responsibilities and Oversight

ABCL's Board of Directors is structured with a Non-Executive Chairman (Mr. Kumar Mangalam Birla), an Executive Managing Director and CEO (Ms. Vishakha Mulye), several Non-Executive Directors, and multiple Independent Directors, reflecting a governance structure designed to balance promoter oversight with independent scrutiny. The Board is supported by dedicated committees, including the Audit Committee, Nomination and Remuneration Committee, Stakeholders Relationship Committee, and Risk Management Committee, each responsible for detailed oversight of specific governance areas such as financial reporting, director appointments, shareholder grievances, and enterprise risk.

3.2 Transparency and Disclosure

As a listed company, ABCL is required to disclose its governance policies, board and committee composition, and material transactions publicly on its investor relations webpage, and to file periodic disclosures with stock exchanges under SEBI's Listing Obligations and Disclosure Requirements (LODR) Regulations. This includes publishing an annual report with detailed corporate governance disclosures, quarterly financial results, and any material events or related-party transactions that could affect shareholder interests.

3.3 Accountability Mechanisms

Accountability is embedded through the Board's committee structure, where specific committees, most notably the Audit Committee, are tasked with reviewing and approving key transactions and financial disclosures before they reach the full Board. Directors and senior management are also held accountable through periodic performance evaluation of the Board and its committees, a practice recommended by Indian corporate governance codes and increasingly mandated under SEBI regulations for listed companies.

3.4 Related-Party Transactions

In line with SEBI's mandate that every listed company formulate a policy on the materiality of, and procedure for dealing with, Related Party Transactions, ABCL's Related Party Transactions Policy requires prior approval of the Audit Committee for transactions with related parties, such as promoters, directors, key managerial personnel, or their relatives, particularly where transaction value exceeds specified materiality thresholds (for instance, ten percent of the annual turnover of a subsidiary, or the materiality threshold prescribed under the Listing Regulations, whichever is lower). This structured approval process is designed to prevent related parties from using their position to secure transactions unfavourable to the company or its minority shareholders.

3.5 Whistleblower Mechanism

ABCL's Whistle Blower Policy allows employees and directors to report suspected violations of the company's Code of Conduct, unethical behaviour, or fraud without fear of retaliation. Depending on the seniority of the person involved, complaints are escalated either to a Corporate Panel at the Chairman's Office or to a Business-level Whistleblower Committee comprising the

HR Head, Legal Head, the Market Conduct team, and the Risk team, with the Employee Relations Head acting as secretary, ensuring that even complaints against senior leadership have an independent escalation route.

3.6 Ethical Standards

ABCL's governance framework is underpinned by the Aditya Birla Group's core values of Integrity, Commitment, Passion, Seamlessness, and Speed, and is reinforced by supporting policies such as the Anti-Corruption and Anti-Bribery Policy and the Human Rights Policy, both publicly disclosed alongside the Corporate Governance Policy. These policies collectively set clear ethical expectations for directors, management, and employees in their dealings with each other, customers, business partners, and the wider community.

4. COMPLIANCE AND GOVERNANCE ANALYSIS

4.1 Relevant Laws, Regulations, and Standards

- The Companies Act, 2013, particularly provisions on Independent Directors, Audit Committees, related-party transactions, and the vigil (whistleblower) mechanism
- SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, governing board composition, committee structure, and disclosure obligations for listed companies
- SEBI regulations on Related Party Transactions, including materiality thresholds and Audit Committee approval requirements
- The Kumar Mangalam Birla Committee Report (2000) and subsequent SEBI Committee reports on Corporate Governance, which shaped India's board composition and disclosure norms, including mandatory disclosure of related-party transactions and director compensation
- Reserve Bank of India's corporate governance guidelines applicable to systemically important NBFCs such as ABCL

4.2 How the Policy Supports Legal and Regulatory Compliance

ABCL's board composition, featuring a mix of Independent, Non-Executive, and Executive Directors, along with functioning Audit, Nomination and Remuneration, and Stakeholders Relationship Committees, directly satisfies the board structure and committee requirements under the Companies Act, 2013 and SEBI LODR Regulations. The Related Party Transactions Policy operationalizes SEBI's specific mandate for a materiality-based approval framework, while the Whistle Blower Policy fulfils the vigil mechanism required under the Companies Act for listed companies, giving both employees and directors a structured, protected route to report governance or ethical concerns.

4.3 Governance Mechanisms Associated with the Policy

Governance is exercised through a layered committee structure, with the Audit Committee playing a central gatekeeping role for related-party transactions and financial disclosures, the Nomination and Remuneration Committee overseeing director appointments and compensation, and the Risk Management Committee monitoring enterprise-wide risk. A publicly available list of committee memberships allows shareholders and other stakeholders to verify which directors serve on which committees, supporting transparency in how governance responsibilities are distributed across the Board.

5. POLICY EVALUATION

5.1 Strengths of the Policy

- A board structure that combines a Non-Executive Chairman with a substantial number of Independent Directors, providing a meaningful check on promoter and management influence
- A dedicated, SEBI-compliant Related Party Transactions Policy with clear, quantified materiality thresholds, reducing the scope for related-party dealings to escape scrutiny
- A functioning, multi-tier Whistleblower mechanism with escalation routes for complaints against senior leadership, reflecting genuine independence in ethics oversight

- Public disclosure of governance policies, committee lists, and director profiles on ABCL's investor relations webpage, supporting shareholder access to key governance information

5.2 Effectiveness and Practicality of Implementation

The presence of named, identifiable Independent Directors and a published, regularly updated list of committee memberships indicates that ABCL's governance structure operates as a functioning, actively maintained system rather than a static compliance document. The layered approval process for related-party transactions, requiring Audit Committee sign-off based on clear numerical thresholds, provides a practical, rules-based mechanism that reduces reliance on subjective judgment calls in individual transactions.

5.3 Gaps, Limitations, and Areas for Improvement

- As with many large promoter-led Indian conglomerates, the Non-Executive Chairman position is held by the principal promoter figure (Mr. Kumar Mangalam Birla), who also chairs the boards of multiple other Aditya Birla Group companies, which, despite full regulatory compliance, may raise questions about the degree of separation between promoter influence and independent board oversight

- Publicly available documentation does not clearly disclose statistics on whistleblower complaints received, investigated, or resolved, limiting external stakeholders' ability to assess how actively the mechanism is used or how effectively it functions

- The Related Party Transactions Policy's materiality thresholds, while compliant with SEBI's minimum requirements, are based on percentage-of-turnover calculations that may still permit large absolute transaction values to proceed with only Audit Committee approval, rather than requiring shareholder approval in all cases

5.4 Comparison with Good Corporate Practice

ABCL's governance structure aligns closely with the recommendations of the Kumar Mangalam Birla Committee Report and subsequent SEBI corporate governance reforms, including mandated Independent Director representation, Audit Committee oversight of related-party

transactions, and formal disclosure requirements. However, some global governance benchmarks go further by separating the Chairman and CEO roles across entirely unrelated individuals with no other group directorships, and by publishing detailed, quantified whistleblower and grievance statistics in annual Business Responsibility and Sustainability Reports (BRSR), areas where ABCL's disclosure could be extended.

6. BUSINESS RELEVANCE

6.1 Importance in Modern Business

For a systemically important, publicly listed financial holding company managing the savings, investments, and insurance needs of millions of customers, strong corporate governance is fundamental to maintaining investor confidence, regulatory standing, and access to capital markets. Effective board oversight and ethical governance directly influence how efficiently a company can raise funds, retain institutional investors, and withstand regulatory scrutiny in a sector where public trust is the core commercial asset.

6.2 Impact on Employees, Customers, and Stakeholders

- Shareholders and Investors: Benefit from Board oversight, related-party transaction controls, and transparent disclosures that protect their investment from governance failures or self-dealing

- Employees: Gain a protected channel to report ethical violations through the Whistleblower Policy, reinforcing a culture where wrongdoing can be raised without fear of retaliation

- Customers: Indirectly benefit from strong governance, since well-governed financial institutions are less likely to engage in the kind of unchecked risk-taking or fraud that can threaten customer funds and trust

6.3 Contribution to Risk Management, Ethical Practices, Compliance, and Governance

ABCL's governance framework functions as a foundational risk management layer, with the Risk Management Committee and Audit Committee jointly overseeing financial and operational risk

exposure, while the Related Party Transactions Policy specifically guards against the risk of value being diverted from the company to related parties. The combined effect of board oversight, whistleblower protection, and ethical policy frameworks is to embed accountability and integrity into ABCL's decision-making at every level, from Board resolutions to day-to-day operational conduct.

7. RECOMMENDATIONS

- Publish annual, aggregated statistics on whistleblower complaints received, investigated, and resolved, to demonstrate that the mechanism is actively used and effectively managed, building greater stakeholder confidence

- Consider periodic external evaluation of Board and committee effectiveness by an independent governance consultant, in addition to internal self-assessment, to strengthen the credibility of board performance reviews

- Review related-party transaction thresholds periodically to ensure that percentage-based materiality limits do not permit unusually large absolute transaction values to bypass shareholder-level approval

- Expand public disclosure around board diversity and director independence criteria, including clearer articulation of any other group directorships held by Board members, to enhance transparency around potential conflicts of interest

- Strengthen stakeholder engagement disclosures by publishing a summary of key issues raised by shareholders, investors, or other stakeholders during the year and how they were addressed

8. CONCLUSION

8.1 Overall Assessment and Key Learnings

ABCL's Corporate Governance and Ethics framework, comprising its Policy on Corporate Governance, Related Party Transactions Policy, Whistle Blower Policy, and Stakeholder Engagement Policy, provides a reasonably comprehensive, SEBI-aligned structure for board

oversight, transparency, and accountability, appropriate for a large, publicly listed financial holding company. This review demonstrates that effective corporate governance depends on a genuinely independent Board, rules-based control over related-party dealings, and a protected channel for raising ethical concerns, all of which are present in ABCL's framework, even as greater public disclosure of governance outcomes, such as whistleblower statistics and board evaluation results, remains an area for improvement.

More broadly, this review illustrates that in a promoter-led conglomerate structure common to many large Indian businesses, strong corporate governance policies play an especially important role in reassuring public shareholders and regulators that minority interests and ethical standards are genuinely protected, not merely documented, and that ongoing, transparent disclosure of governance outcomes is essential to sustaining that trust over time.

9. REFERENCES

- Aditya Birla Capital Limited, Policy on Corporate Governance, available at: www.adityabirlacapital.com/investor-relations/policies-and-code
- Aditya Birla Capital Limited, Related Party Transactions Policy framework (as adopted across Aditya Birla Group listed entities), available at: www.abfrl.com
- Aditya Birla Capital Limited, Whistle Blower Policy, available at: www.adityabirlacapital.com
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